

ADVANTAGE Daily Drilling Fluids Report - 25



INTEQ

Rpt Date 01/Aug/2006			Well Name/No Bilabri D 2			Section Name/No 17-1/2" Section #3			Mud System AQUA-DRILL		
Job# 1		Spud Date 05/Jul/2006		MD 1152.00 m		Progress 85.00 m		Present Activity Miscellaneous			
Operator Peak Petroleum Indust. Limited			Company Rep Robert Montgomery/Chris Newton			Contractor Dolphin Drilling Ltd		Contractor Rep Paul Sheppard/Nolan Troy			
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN		

Drilling Assembly			Casing			Volumes	Pump Information						
Bit Gauge in	Mfr	Bit Model	OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
17 1/2	Smith International	S35P		19 1/2	178.00	Total Hole	Continental Ensco FA-1600	7	12.00	94.0	0.1342	44	248
Drill Collars			Drill Pipe			1167.9	Continental Ensco FA-1600	7	12.00	94.0	0.1342	55	310
OD in	ID in	Length m	OD in	ID in	Length m	Active Pits	Continental Ensco FA-1600	7	12.00	94.0	0.1342	0	
9 7/16	3 1/8	8.82	5	4.276	881.64	398							
9 1/2	2 7/8	8.64	5	3	167.00	Tot Active							
8	2 7/8	45.33				1565.9							
8	2 7/8	9.17				In Storage	Surface to Bit	4.4 min/439stks			Total System 116.1 min/11492stks		
						845	Bottoms Up	81.7 min/8088stks					

Mud Properties				Max Ann Velocity		Hole Information				
Property	Fluid Spec	1	2	3	AV Riser	38.51 ft/min	Standpipe Pressure	1020 psi	Water Depth	152.00 m
Sample From		Active Pit	Flow Line		AV Casing	40.15 ft/min	Hole Flow	558 USgal/min	Riser Booster Rate	USgal/min
Check Time		05:30	21:30		AV Open Hole	3138.02 ft/min	Solids Analysis			
MD m		1071.00	1126.00		Vc Open Hole	280.13 ft/min	Property	1	2	3
TVD m		1071.00	1126.00		Vc Drill Pipe	250.24 ft/min	LGS %	2.95	4.21	
Bit Depth m		1071.00	1126.00		Min Ann Velocity		LGS lb/bbl	26.88	38.37	
Inc deg		0.69	0.96		AV Riser	38.51 ft/min	HGS %	0.00	0.00	
Density ppg		9.30	9.40		AV Casing	40.15 ft/min	HGS lb/bbl	0.00	0.00	
Funnel Visc. sec/quart		52.0	49.0		AV Open Hole	48.64 ft/min	Bentonite %	0.00	0.00	
Circ BHTdegF			100.4		Bit Information		Bentonite lb/bbl	0.00	0.00	
Flow Line Temp degF			85.0		Size	17 1/2 in	Drill Sol %	2.95	4.21	
Test Temp degF		80.0	80.0		Hours On Bit		Drill Sol lb/bbl	26.88	38.37	
Rheol Temp degF		100.0	110.0		Bit Number	2	Avg Dens Sol sg	5.1306	4.1562	
PV cP		14	14		BHA Number	1	Rheology			
YP lbf/100ft^2		22	21		Depth In	459.00 m	600 RPM	50	49	
10sec Gel lbf/100ft^2		6	7		Bit RPM		300 RPM	36	35	
10min Gel lbf/100ft^2		8	8		WOB	klbf	200 RPM	25	29	
API Filtrate cc		6.0	5.6		Nozzles	28:3x22	100 RPM	19	21	
API Cake in/32		2.0	2.0		Bit Hydraulics		6 RPM	7	6	
pH		9.2	9		TFA	1.7150 in^2	3 RPM	5	5	
Pm		0.3	0.2		Nozzle Vel	104.4 ft/sec				
PF		0.1	0.1		Bit Press Loss	92 psi				
MF		0.5	0.4		HHP / Area	0.13 HP/in^2	Hydraulic Analysis			
Excess Lime lb/bbl		0.1	0.0		HHP	10.9 %	Behavior Index (n)	0.409		
Hardness mg/l		300.0	380.0				Consistency Index (k)	2.737 #sec^n/100ft^2		
Chlorides mg/l		67000	60000				ECD @ Bit Depth	10.57 ppg		
K mg/l		40110	38730				ECD @ Casing Shoe	9.43 ppg		
NaCl mg/l		50745	41253		Fluid Comments/ Recommendations					
KCl mg/l		76478	73846		Continued making fresh mud for dilution & volume demands due to predominantly surface losses. Mix fresh mud in separate pits, allow to agitate & circulate while transfers & dilution to the active pit is made from previously prepared volumes. KCl brine stock in the pontoon brine tank down to 384 bbls. Saving that for contingency while using sacked KCl for conditioning & making new mud. Still expecting already ordered KCl supplies from town. Optimising limited KCl sack stock as much as losses & dilution could accommodate in anticipation of supplies. Dumped all solid control tanks (sand trap, desander, desilter, degaser tanks) & gumbo box & cleaned out same while tripping.					
MBT lb/bbl		12.3	13.5							
Retort Water %		95.0	94.5							
Sand %		0.80	0.90							
Retort Solids %		5.0	5.5							
Corrected Solids %		1.0	2.0		Drilling Comments					
					Cont drill f/1066 t/1071m, Pressure losses in string. Tested surface equipment, ok. Investigate pumps. F/C, OK. POOH f/1071m. 60k overpull. Pump & ream stds to shoe 450m. F/C, OK. POOH, B/O & remove bit. Inspect & investigate bit, OK. M/U bit & RIH with 17-1/2" BHA, inspecting tool jnts on trip in hole t/273m. Test MWD, RIH t/shoe 460m, test MWD. RIH t/1037m, wash /ream t/btm 1071m. Drill ahead t/1152m while reaming & surveying at intervals.					

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 1
Waboso Peter/Ayo Okomayin	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	20828.21 USD	425080.22 USD	296487.75 USD	

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HUGHES**

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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria							
Rig BULFORD DOLPHIN													
Solids Control Equipment													
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments						
CENTRIFUGE	1	SWACO	6.0		23.0	0.0							
CENTRIFUGE	2	SWACO	0.0		0.0	0.0							
DESANDER	1	SWACO	0.0		0.0	0.0							
DESILTER	1	SWACO	0.0		0.0	0.0							
MUD CLEANER	1	SWACO	24.0	3 x 210	80.0	0.0							
SHALE SHAKER	1	Brandt	0.0		0.0	0.0							
SHALE SHAKER	1	Derrick Equipments Co	24.0	3 x 110	80.0	0.0							
SHALE SHAKER	2	Brandt	0.0		0.0	0.0							
SHALE SHAKER	2	Derrick Equipments Co	24.0	3 x 110	80.0	0.0							
SHALE SHAKER	3	Derrick Equipments Co	24.0	3 x 110	80.0	0.0							
SHALE SHAKER	3	Brandt	0.0		0.0	0.0							
				Total Volume Lost	343	0							
Volumes													
Additions bbl			Losses bbl			Total Volumes bbl							
Mud Added	Weight Materials		Downhole	80	Left In Pit		Starting Volume	2582.8	Riser w/o Pipe	213.3			
Brine	Water	450	Cased Off		Trip Losses	25	Daily Additions	484.8	Casing w/o Pipe	329.9			
Base Fluid	Product	34.8	Left In Hole		Injected		Daily Losses	656	Open Hole w/o Pipe	676.4			
Recycled	Other		Discharged		Spill To Environment		Ending Volume	2411.6	String Displacement	51.6			
			SCE	343	Onshore Disposal		Net Change	-171.2	String Capacity	59.0			
			Evaporation		Returned				Total Hole w/ Pipe	1167.9			
			Other Losses	208					Total Active	1565.9			
									Total Reserve	845.0			
IADC Hours													
Circulate		5	Tripping		12	Drilling Formation			7				
BHDF Fluids Rep Waboso Peter/Ayo Okomayin		BHDF Rep Phone 234-803-402-0440		Warehouse Onne		Warehouse Phone 234-84-462609		Coordinator Lawson Ogaree		Daily Cost 20828.21 USD	Cumulative Cost 425080.22 USD	Inventory Value 296487.75 USD	Page 2
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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN				
Primary Currency USD			Secondary Currency			Totals USD						
Daily Product Cost		19928.21		Daily Product Cost		0.00		Primary Product		397630.22		
Daily Tax		0.00		Daily Tax		0.00		Secondary Product		0.00		
Debit/Credit		0.00		Debit/Credit		0.00		Primary Engineering		27450.00		
Daily Engineering Cost		900.00		Daily Engineering Cost				Secondary Engineering		0.00		
Total Daily Cost		20828.21		Total Daily Cost		0.00		Primary Total		425080.22		
Total Inventory Value		296487.75		Total Inventory Value		0.00		Secondary Total		0.00		
								Deck Load		357.03 UK ton		
Products and Services												
Product		Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Bulk												
BARITE - Imported		1000 kg	258						258	4.50	4.02	
Water Based Product												
AQUA-COL D		55 USgal	15					1	14			
CALCIUM CHLORIDE (97%)		50 lb	2						2			
CAUSTIC SODA		25 kg	54					6	48	0.40	0.02	
CITRIC ACID MONOHYDRATE		25 kg	6						6			
DRISPAC LV		25 kg	103					12	91	0.16	0.79	
LD-8		55 USgal			1			1		0.20		
LIQUID NEWDRILL PLUS		5 USgal	22						22			
MIL-PAC R		25 kg	103					12	91	1.00	1.14	
MIL-PAC LV		25 kg	80						80	0.47	0.32	
NEW-DRILL PLUS		55 lb	152					15	137	1.49	1.47	
POTASSIUM CHLORIDE		25 kg	80		240			200	120	3.35	4.89	
POTASSIUM CHLORIDE BRINE		1 bbl	384						384	163.49	99.22	
PROTECTOMAGIC M		25 kg	73						73	0.18		
SODA ASH		25 kg	75						75	0.45	0.48	
XANTHANGUM D		25 kg	63		40			13	90	1.16	1.44	
XCIDE 102		55 USgal	1						1	0.13	0.12	
LCM												
CALCIUM CARBONATE - FINE		25 kg	40						40	1.51	0.11	
CALCIUM CARBONATE - MED		25 kg	100						100	1.01		
KWIKSEAL - MEDIUM		50 lb	80						80			
MIL-PLUG FINE		50 lb	84						84			
MIL-SEAL MEDIUM		50 lb	90						90			
SOLUFLAKE F		50 lb	78						78	0.02	0.01	
Other												
SOLTEX		25 kg	60					20	40	1.48	0.76	
BHDF Fluids Rep		BHDF Rep Phone		Warehouse	Warehouse Phone		Coordinator		Daily Cost	Cumulative Cost	Inventory Value	Page 3
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